

August 26, 2025

BSE Ltd.
P J Towers,
Dalal Street,
Mumbai – 400 001.

National Stock Exchange of India Ltd.
Exchange Plaza, Bandra Kurla Complex
Bandra (East)
Mumbai 400051.

BSE Scrip Code : 524735

NSE Symbol : HIKAL

Dear Sir/ Madam,

Subject: Business Responsibility & Sustainability Report for FY 2024-25

Pursuant to Regulations 34 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Business Responsibility & Sustainability Report of the Company for financial year 2024-25, this also forms part of our Integrated Annual Report for financial year 2024-25.

This is for your information and records.

Thanking you,

Yours Sincerely,
for **HIKAL LIMITED**,

RAJASEKHAR REDDY
CHINTAKINDI
Digitally signed by
RAJASEKHAR REDDY
CHINTAKINDI
Date: 2025.08.26
17:32:09 +05'30'

Rajasekhar Reddy
Company Secretary and Compliance Officer

Encl: As above

Hikal Ltd.

Admin. Office: Great Eastern Chambers, 6th Floor, Sector 11, CBD Belapur, Navi Mumbai - 400 614, India. Tel. + 91-22-6277 0299, + 91-22-6866 0300

Regd. Office: 717, Maker Chambers - 5, Nariman Point, Mumbai - 400 021, India. Tel. +91-22 6277 0477. Fax: + 91-22 6277 0500

www.hikal.com info@hikal.com CIN: L24200MH1988PTC048028

Business Responsibility and Sustainability Report

SECTION A: GENERAL DISCLOSURES

I. Details of the listed Entity

1. Corporate Identity Number (CIN) of the Listed Entity	L24200MH1988PTC048028
2. Name of the Listed Entity	Hikal Limited
3. Year of incorporation	1988
4. Registered office address	717/718, Marker Chambers V, Nariman Point, Mumbai, 400021
5. Corporate address	Great Eastern Chambers, Sector-11, 6 th Floor, CBD Belapur, Navi Mumbai – 400614
6. E-mail	secretarial@hikal.com
7. Telephone	+91 22 6277 0299
8. Website	www.hikal.com
9. Financial year for which reporting is being done	1 April 2024 to 31 March 2025
10. Name of the Stock Exchange(s) where shares are listed	BSE Limited (BSE) National Stock Exchange of India Limited (NSE)
11. Paid-up Capital	INR 246,601,500
12. Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Name: Jai Hiremath Designation: Executive Chairman DIN number: 00062203 Telephone number: 022 6277 0299 E-mail ID: secretarial@hikal.com
13. Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its	Disclosures made in this report are on a consolidated basis
14. Name of assurance provider	Sustain Right
15. Type of assurance obtained	Limited Assurance

II. Products/services

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	Percentage of Turnover of the entity
1	Manufacturing	Manufacturing of pharmaceuticals, animal health, crop protection and specialty chemicals	100%

17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% of total Turnover contributed
1	Manufacture of Basic Chemical Elements	20116	37%
2	Manufacture of Pharmaceutical Products	21001	63%

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	5	3	8
International	0	3	3

Note: Hikal Limited has five manufacturing facilities and one Research and Technology (R&T) centre in India.

19. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	Pan-India
International (No. of Countries)	1. Overseas office in Japan 2. Overseas office in USA 3. Representation in Europe

b. What is the contribution of exports as a percentage of the total turnover of the entity?

Total contribution of exports as a percentage of the turnover is 62%.

c. A brief on types of customers

The company is working with leading agrochemicals and pharmaceuticals multinational companies..

IV. Employees

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
EMPLOYEES						
1.	Permanent (D)	1948	1816	93%	132	7%
2.	Other than Permanent (E)	26	21	81%	05	19%
3.	Total employees (D + E)	1974	1837	93%	137	7%
WORKERS						
4.	Permanent (F)	114	114	100%	-	-
5.	Other than Permanent (G)	1507	1453	96%	54	4%
6.	Total workers (F + G)	1621	1567	97%	54	3%

b. Differently abled Employees and workers:

S. No	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	4	4	100%	-	-
2.	Other than Permanent (E)	-	-	-	-	-
3.	Total differently abled employees (D + E)	4	4	100%	-	-
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	-	-	-	-	-
5.	Other than permanent (G)	-	-	-	-	-
6.	Total differently abled workers (F + G)	-	-	-	-	-

21. Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B/A)
Board of Directors	11	3	27.3%
Key Management Personnel	5	0	0%

22. Turnover rate for permanent employees and workers

	Turnover rate in FY 2024-25			Turnover rate in FY 2023-24			Turnover rate in FY 2022-23		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	29%	2%	31%	24%	2%	26%	23%	23%	23%
Permanent Workers	6%	0%	6%	4%	0%	4%	3%	0%	3%

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. (a) Names of holding/subsidiary/associate companies/joint ventures

S. No.	Name of the holding/ Subsidiary/associate companies/Joint ventures (A)	Indicate whether holding/ Subsidiary/Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	Acoris Research Limited	Subsidiary	100%	No
2	Hikal LLC	Subsidiary	100%	No

VI. CSR Details

24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: Yes

(ii) Turnover (in INR): 18,598 million

(iii) Net worth (in INR): 12,622 million

VII. Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No)	FY 2024-25			FY 2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Investors (other than shareholders)	Yes	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Shareholders	Yes	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Employees and workers	Yes	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Customers	Yes	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Value Chain Partners	Yes	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Others	NA	NA	NA	NA	NA	NA	NA

Weblink to Grievance Redressal Policy: <https://www.hikal.com/documents/corporate-governance>

26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format.

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Energy efficiency & carbon emissions/Air pollution	R/O	Energy efficiency, carbon emissions, and air pollution pose risks and opportunities for our organisation. Neglecting these issues leads to regulatory pressures, fines, and reputational damage. However, embracing efficiency and reducing emissions enhances our organisation brand, attracts eco-conscious customers, and improves competitiveness. Sustainable practices save costs and improve efficiency. Prioritising energy efficiency and emissions aligns with environmental goals, driving growth and sustainability.	Our organisation has implemented effective measures to address energy efficiency and carbon emissions/air pollution risks. These include dust collectors, bed scrubbers, and flue gas monitoring. We recycle organic vapors and have a green belt and environmental management cell for ongoing monitoring. These efforts demonstrate our commitment to environmental sustainability and regulatory compliance.	Positive/ Negative
2.	Water and effluent management/Waste management	Risk	Water scarcity, pollution, and inadequate waste management pose risks to our organisation and the environment. Insufficient water availability disrupts operations, raises costs, and jeopardizes well-being. Improper waste handling risks environmental harm, health hazards, and non-compliance. Addressing these risks is crucial to avoid penalties, reputation damage, and strained relationships. Effective management brings financial and environmental benefits, enhancing our position in the sector.	Our organisation prioritizes waste and water/effluent management. We securely store and responsibly dispose of discarded containers, hand them over to authorised recyclers, and ensure proper recycling practices. Specific wastes are securely stored and safely disposed of in authorised incinerators. We reprocess spent solvents using environmentally sound technology and government-approved recyclers. These measures showcase our commitment to responsible waste management, reducing environmental impact, and complying with regulatory requirements.	Negative
3.	Biodiversity protection	Risk	We understand that business operations have an impact on biodiversity. Pollution and contamination worsen the situation, impacting species diversity and ecological balance. Addressing these risks is crucial to safeguard biodiversity and promote responsible practices in our industry.	The green belt near our chemical manufacturing factory acts as a refuge for diverse species, conserving biodiversity. It serves as a buffer zone, reducing pollution impacts and improving air and water quality. The green belt acts as an environmental asset, fostering ecological resilience and mitigating risks associated with our operations.	Negative



S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
4.	Green Chemistry	Opportunity	Embracing green chemistry offers our organisation numerous opportunities. It showcases our commitment to sustainability, ensures compliance with regulations, brings cost savings through efficient processes, fosters innovation, and differentiates us in the market with sustainable products. It opens doors to new markets and customers seeking eco-friendly options, reduces risks associated with hazardous substances, strengthens supply chain resilience, and contributes to long-term sustainability by conserving resources and minimising environmental impact. Adopting green chemistry establishes us as leaders in sustainable chemistry, benefiting the environment and our long-term success.	The organisation promotes green chemistry by adopting cleaner, safer, and more efficient manufacturing practices. A key initiative includes redesigning a core process to eliminate hazardous materials, reduce emissions, and improve efficiency. This shift has led to better resource use, lower environmental impact, and cost savings. These efforts reflect our commitment to sustainability, innovation, and long-term value creation.	Positive
5.	Diversity, inclusion, and equal opportunities	Opportunity	Embracing diversity, inclusion, and equal opportunities brings significant advantages to our company. Prioritising these principles fosters innovation, expands our talent pool, improves decision-making, boosts employee engagement and retention, enhances our reputation, ensures regulatory compliance, and drives research and development innovation. By embracing diversity and inclusion, we cultivate a culture of success, competitiveness, and long-term sustainability while contributing to a more equitable and inclusive society.	The organisation fosters a culture of diversity, inclusion, and equal opportunity through comprehensive policies and inclusive workplace practices. These efforts ensure fair access, representation, and a sense of belonging across all levels, contributing to a collaborative environment that drives innovation, supports long-term sustainability, and advances social equity.	Positive
6.	Employee well-being, benefits & retention/Skill development	Opportunity	Prioritising employee well-being, benefits, and skill development offers significant opportunities for our organisation. By creating a positive work environment that supports physical and mental health, providing benefits and flexible arrangements, and offering skill development opportunities, we enhance job satisfaction, retention, engagement, and attract top talent. This fosters a culture of continuous learning and growth, boosting productivity, performance, competitiveness, and long-term success.	The company has established fully equipped Occupational Health Centres (OHC) at each site, staffed with full-time doctors, medical personnel, and 24/7 ambulance services to ensure immediate and comprehensive healthcare support. Annual medical check-ups are conducted for all employees, followed by personalised counselling by the Factory Medical Officer. To support mental well-being, the company has launched the Hello Happiness App in collaboration with Lifetalk, providing employees with access to mental health resources and professional support. This is further reinforced through regular wellness initiatives, including yoga, zumba, and structured mental wellness programmes, aimed at fostering a healthy, resilient, and engaged workforce.	Positive

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
7.	Occupational health and safety	Risk	Occupational health and safety are a critical risk for our organisation. Neglecting a safe working environment leads to accidents, injuries, and illnesses, impacting employee well-being, morale, productivity, and absenteeism. Non-compliance results in legal liabilities, fines, penalties, and reputational damage. Prioritising comprehensive health and safety programmes, training, and preventive measures is crucial to mitigate risks, protect employees, and maintain a safe workplace. Investment in occupational health and safety ensures the well-being of our workforce and safeguards our organisation's reputation and success.	The Company prioritizes creating a safe work environment and preventing harm. It regularly identifies hazards and develops mitigation plans. Ongoing safety trainings are provided to employees and workers to safeguard their overall well-being. The goal is to maintain a holistic approach to safety and well-being.	Negative
8.	Human rights and community development	Risk/ Opportunity	Human rights violations or perceived violations pose a significant risk to our organisation, causing reputational damage, legal consequences, and loss of stakeholder trust. Failing to uphold labour rights can result in employee dissatisfaction, protests, and potential boycotts. Respecting human rights, complying with laws, and addressing grievances transparently are crucial. On the other hand, community development offers opportunities. Engaging in initiatives like education, skills training, and infrastructure development builds relationships, enhances reputation, and creates a positive social impact, leading to community support, market access, and long-term sustainability.	We have well established systems to ensure that the human rights of our internal and external stakeholders are secured. There are necessary policy frameworks implemented in this regard. We have been engaging with local communities through our various CSR initiatives to make a positive impact on their lives and foster sustainable development.	Positive/ Negative
9.	Product, quality, safety, and labelling	Risk	In the chemical sector, product quality, safety, and labelling are significant risks. Inadequate control measures can lead to defects or hazards, causing legal liabilities and reputational damage. Misleading labelling may result in consumer misuse. Implementing robust quality control, safety protocols, and accurate labelling ensures compliance and consumer trust.	To mitigate risks related to product quality, safety, and labeling, our organisation has implemented several measures. These include rigorous quality control procedures throughout the production process, adherence to safety protocols and standards, comprehensive testing and certification of products, accurate and transparent labeling practices in compliance with regulations, and ongoing monitoring and assessment to ensure continuous improvement. These measures aim to maintain high product standards, ensure consumer safety, and uphold our reputation for quality and reliability.	Negative





S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
10.	Research and innovation	Opportunity	Investing in research and fostering innovation keeps us ahead in technology, addressing market needs. Research improves operations and production efficiency. Innovation differentiates us, attracting partners and investors, enhancing our reputation, and seizing business opportunities. Prioritising research and innovation drives sustainable growth and adaptability.	The organisation actively integrates research and innovation into its operational strategy. Investments in clean energy technologies—such as cogeneration turbines, flash steam recovery systems, and solar and wind power—reflect a strong commitment to reducing environmental impact and improving cost efficiency. Continuous upgrades, including high-efficiency pumps, automated lighting, and process optimisation, are driven by in-house R&D. These initiatives not only support energy conservation but also enable the company to respond swiftly to evolving market demands and regulatory expectations, fostering long-term adaptability and growth.	Positive
11.	Sustainable supply chain	Opportunity	Focusing on supply chain sustainability enhances competitiveness, reduces risks, and aligns with consumer preferences. Sustainable practices minimize environmental impact, conserve resources, and meet regulatory requirements. It fosters strong supplier relationships, innovation, and continuity. Embracing sustainability improves efficiency, reputation, and long-term success.	Hikal has a formal Green Supply Chain and Sustainable Procurement Policy that outlines structured procedures for sustainable sourcing. The policy is applicable to all value chain partners and reflects our commitment to responsible business practices across environmental, social, and governance (ESG) dimensions.	Positive
12.	Sustainable financial performance	Opportunity	Integrating sustainability into financial strategies offers opportunities. It reduces costs, enhances reputation, attracts investors, and ensures long-term viability. Sustainable performance anticipates market trends and regulatory requirements, building trust and competitiveness while creating value for stakeholders and society.	The organisation integrates sustainability into its financial strategy by aligning investments with long-term environmental and social priorities. This includes adopting resource-efficient practices, supporting green innovation, and incorporating ESG considerations into capital planning.	Positive
13.	Regulatory compliance/Ethical business practices and governance	Opportunity/Risk	Regulatory compliance and ethical business practices offer opportunities to our organisation. Adhering to regulations enhances reputation, attracts responsible investors and customers. Compliance mitigates legal risks, maintains positive image. Ethical practices foster trust, accountability, and governance, promoting sustainability and resilience. Prioritising compliance and ethics differentiate us, attracts opportunities, and earns stakeholder trust in the industry.	Hikal has established a robust Code of Conduct that applies to all employees, directors, consultants, and business partners, reflecting the company's commitment to integrity, transparency, and accountability. The Code sets clear expectations regarding ethical conduct, including areas such as conflict of interest, insider trading, safeguarding of company assets, and compliance with relevant laws and regulations. To support ethical governance, Hikal has also implemented a Whistleblower Policy that enables confidential reporting and resolution of concerns, fostering a culture of trust and continuous improvement.	Positive/Negative

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
14.	Data integrity & security	Risk	Data integrity and security are crucial for protecting valuable assets and maintaining stakeholder trust. Breaches or unauthorised access can lead to financial losses, reputation damage, and legal liabilities. Data integrity issues undermine decision-making and operational efficiency. Implementing robust security measures and employee awareness programmes mitigate risks and safeguard data assets, reputation, and competitive position.	To mitigate risks related to data integrity and security, our organisation has implemented robust measures. These include the implementation of encryption technologies to protect sensitive data, strict access controls and authentication protocols, regular data backups, ongoing monitoring of network and system vulnerabilities, comprehensive employee training on data security best practices, and the use of advanced firewalls and intrusion detection systems. These measures aim to safeguard our data assets, protect against unauthorised access or data breaches, and ensure the confidentiality, integrity, and availability of our data.	Negative
15.	Risk management & business continuity	Risk/Opportunity	Risk management and business continuity pose both risks and opportunities. Inadequate management can lead to accidents, disruptions, non-compliance, and reputational damage. Prioritising risk assessment, safety protocols, emergency plans, and supply chain resilience minimises incidents, protects stakeholders, and enhances trust. Effective business continuity planning ensures swift response, essential operations, and efficient recovery, securing long-term sustainability and success.	To address risk management and business continuity issues, our organisation has implemented various measures. These include conducting proactive risk assessments, implementing safety protocols and emergency response plans, ensuring supply chain resilience, establishing business continuity plans, regularly reviewing, and updating risk management strategies, and conducting drills and simulations to test preparedness. These measures help mitigate risks, enhance operational resilience, and ensure the continuity of our business operations in the face of potential disruptions.	Positive/Negative
16.	Customer engagement	Opportunity	Customer engagement presents a significant opportunity to our organisation. By actively engaging with customers, we can gain valuable insights into their needs, preferences, and challenges. This enables us to develop products that meet specific customer requirements.	The organisation conducts bi-weekly meetings with key suppliers and maintains regular customer interactions to ensure alignment and gather feedback. These engagements drive transparency, strengthen relationships, and inform product and service improvements based on evolving customer needs.	Positive



SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
b. Has the policy been approved by the Board? (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
c. Web Link of the Policies, if available	The policies can be viewed on Company's website: www.hikal.com								
2. Whether the entity has translated the policy into procedures. (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes, we expect all our value chain partners to comply with Hikal's Code of Conduct and responsible business conduct guidelines.								
4. Name of the national and international codes/certifications/ labels/standards (e.g., Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustee) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	• ISO 9001: 2018 • ISO 14001: 2015 • ISO 45001: 2018 • ISO 50001:2018 • Responsible Care Certification								
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	Our Scope 1 and Scope 2 emissions reduction targets have been defined internally, and efforts are underway to establish Scope 3 targets in alignment with SBTi guidelines. Scope 3 emissions for FY 2024–25 have already been calculated. The organisation is in the process of applying for SBTi target validation by the end of FY 2025–26 and is currently a signatory to the SBTi for near-term targets. In addition, we are committed to the ten principles of the United Nations Global Compact (UNGC), promoting a culture of integrity and responsible conduct throughout our operations.								
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	We have defined Key Performance Indicators (KPIs) across ESG parameters, and the performance is evaluated regularly.								
Governance, leadership, and oversight									
7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements Refer to page no. 4 of the annual report – Message from the Chairman's desk.									
8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Name: Jai Hiremath Designation: Executive Chairman DIN number: 00062203								
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes/No). If yes, provide details.	Hikal's Corporate Social Responsibility Committee is responsible for decision making on sustainability-related issues. Executive Chairman and the Managing Director are a part of this committee.								

10 Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director/Committee of the Board/ Any other Committee									Frequency (Annually/Half yearly/Quarterly/Any other – please specify)								
	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
	Y	Y	Y	Y	Y	Y	Y	Y	Y	Annually and need basis								
Performance against above policies and follow up action	Y	Y	Y	Y	Y	Y	Y	Y	Y	Ongoing basis								
Compliance with statutory requirements of relevance to the principles, and rectification of any non-compliances	Y	Y	Y	Y	Y	Y	Y	Y	Y									

11. Has the entity carried out independent assessment/evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.

P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
N	N	N	N	N	N	N	N	N
We internally assess the working of above-mentioned policies.								

12. If answer to question (1) above is “No” i.e. not all Principles are covered by a policy, reasons to be stated: Not applicable

Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
The entity does not consider the Principles materials to its business (Yes/No)	-	-	-	-	-	-	-	-	-
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)	-	-	-	-	-	-	-	-	-
The entity does not have the financial or/human and technical resources available for the task (Yes/No)	-	-	-	-	-	-	-	-	-
It is planned to be done in the next financial year (Yes/No)	-	-	-	-	-	-	-	-	-
Any other reason (please specify)	-	-	-	-	-	-	-	-	-

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURES

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	Percentage of persons in respective category covered by the awareness programmes
Board of Directors (BoD)	We conduct periodic familiarisation and awareness programmes for the Board of Directors (BoD) and Key Management Personnel (KMPs). These sessions aim to cover strategy, operations, and functions of the Company.		100%
Key Managerial Personnel (KMP)	The key topics covered under the program are the company's code of conduct for directors and senior-level employees, the code of conduct on insider trading, corporate profile, organisational structure, mandates of various committees, and updates on various other initiatives.		100%
Employees other than BoD and KMPs	We conduct multiple training sessions for our employees and workers across our facilities. Some of the key training includes Behaviour Based Safety Management, Prevention of Sexual Harassment at the Workplace (POSH), Office safety, Regulatory requirements, Risk management, IT and Cyber Security, Business communication, etc.		100%
Workers			100%

2. Details of fines/penalties/punishment/award/compounding fees/settlement amount paid in proceedings (by the entity or by directors/KMPs) with regulators/law enforcement agencies/judicial institutions, in the financial year, in the following format

Monetary					
	NGRBC Principle	Name of the regulatory/enforcement agencies/judicial institutions	Amount (In ₹)	Brief of the case	Has an appeal been preferred (Yes/No)
Penalty/Fine	Nil	Nil	Nil	Nil	Nil
Settlement	Nil	SEBI	43,97,250	Alleged non disclosure/ inadequate disclosure of material information under SEBI (LODR) Regulations, 2015	No
Compounding fee	Nil	Nil	Nil	Nil	Nil
Non-Monetary					
	NGRBC Principle	Name of the regulatory/enforcement agencies/judicial institutions		Brief of the case	Has an appeal been preferred (Yes/No)
Imprisonment	Nil	Nil		Nil	Nil
Punishment	Nil	Nil		Nil	Nil

3. Of the instances disclosed in Question 2 above, details of the Appeal/Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/enforcement agencies/judicial institutions
Alleged non disclosure/ inadequate disclosure of material information under SEBI (LODR) Regulations, 2015	The Company has not preferred any appeal.

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, anti-corruption and anti-bribery provisions are integral to the Company's Code of Conduct. This Code applies to all stakeholders working for or representing the Company or any of its subsidiaries, and it mandates adherence to responsible business practices. It strictly prohibits any form of unethical behaviour and clearly states that no Hikal employee, agent, or representative shall, under any circumstances, make, offer, promise, or authorise any payment or gift.

The weblink of the code of conduct is <https://www.hikal.com/uploads/documents/HikalCodeofConduct2025.pdf>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/corruption:

	FY 2024-25	FY 2023-24
Directors	Nil	Nil
KMPs	Nil	Nil
Employees	Nil	Nil
Workers	Nil	Nil

6. Details of complaints with regard to conflict of interest:

	FY 2024-25		FY 2023-24	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	Nil	-	Nil	-
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	Nil	-	Nil	-

7. Provide details of any corrective action taken or underway on issues related to fines/penalties/ action taken by regulators/law enforcement agencies/judicial institutions, on cases of corruption and conflicts of interest.

Not applicable.

8. Number of days of accounts payables ((Accounts payable *365)/Cost of goods/services procured) in the following format:

	FY 2024-25	FY 2023-24
Number of days of accounts payables	123	134

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2024-25	FY 2023-24
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	28%	60%
	b. Number of trading houses where purchases are made from	120	20
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	62%	80%
Concentration of Sales	a. Sales to dealers/distributors as % of total sales	0	0%
	b. Number of dealers/distributors to whom sales are made	0	0
	c. Sales to top 10 dealers/distributors as % of total sales to dealers/distributors	0%	0%
Share of RPTs in	a. Purchases (Purchases with related parties/Total Purchases)	0%	0%
	b. Sales (Sales to related parties/Total Sales)	0%	0%
	c. Loans & advances (Loans & advances given to related parties/ Total loans & advances)	0	0
	d. Investments (Investments in related parties/Total Investments made)	5%	9%*

Note 1:*The figures for the previous financial year (FY 2023-24) related to 'Investments in related parties' have been restated from 0% to 9%. This restatement is to ensure consistency in reporting methodology for all related party investments and to align with the finalised financial disclosures for FY 2023-24.

Note 2: Hikal operates through a B2B sales model, supplying products directly to leading companies that utilise our intermediates to produce final products for the consumers. Therefore, sales through distributors is not applicable to our business operations.

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

We follow a structured onboarding process for our value chain partners, ensuring they are aligned with Hikal's Code of Conduct and ethical standards from the outset. For critical partners in India, we conduct both desktop and on-site assessments to evaluate compliance and operational integrity. As part of this engagement, we actively communicate our expectations around ESG practices and responsible business conduct, reinforcing our commitment to sustainability and transparency across the supply chain.

2. Does the entity have processes in place to avoid/manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

We have defined a Code of Conduct for the Board of Directors and Senior Management, clearly defining their responsibilities to avoid any actual or perceived conflicts of interest. To ensure ongoing compliance, all Board members and Senior Management executives are required to submit an annual declaration affirming adherence with the Company's conflict of interest guidelines.

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe

Essential Indicators

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

	FY 2024-25	FY 2023-24	Details of improvements in environmental and social impacts
R&D	4.20%	4.56%	We have developed a green manufacturing approach for carboxylation. In this, we have achieved the following benefits: - Eliminated the use of toxic and hazardous reagents such as carbon monoxide gas, n-butyl lithium, and palladium. - Optimised cost and enhanced scalability by eliminating the need for autoclave and cryogenic systems. - Improved process yields from 33% to 59%; a patent has been filed for the innovation. - Reduced Process Mass Intensity (PMI) from 43 to 18. - Reduced CO₂ emissions by 46 kg for every 1 kg of API produced, resulting in a total savings of 46,000 kg of CO₂ per 1,000 kg of API.
Capex	0.25%	-	We have invested in new R&D equipment to drive innovation in sustainable processes, reduce environmental impact, and enhance workplace safety and efficiency.

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

Hikal has a formal Green Supply Chain and Sustainable Procurement Policy that outlines structured procedures for sustainable sourcing. The policy is applicable to all value chain partners and reflects our commitment to responsible business practices across environmental, social, and governance (ESG) dimensions. It includes principles such as risk-based supplier assessments, promotion of ethical conduct, environmental stewardship, and community engagement. We expect our suppliers to align with these standards and undergo periodic ESG evaluations to ensure compliance and continuous improvement across the supply chain.

b. If yes, what percentage of inputs were sourced sustainably?

100% of inputs from critical suppliers in India are sourced sustainably. We conduct due diligence audits for sustainability and EHS compliance among key raw material suppliers and share our Green Supply Chain Policy and supplier code of conduct to communicate expectations on sustainability and green supply principles.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

Given the nature of our business, scope for product reclamation for reusing, recycling, and disposal at the end of life is limited. However, we have implemented robust waste management system across all our facilities. All the categories of wastes are collected, segregated, stored, transported, and disposed of in accordance with applicable regulatory requirements and best industry practices. We have detailed SOPs for collection, storage and disposal of various type of waste generated and we have dedicated teams to ensure its effective implementation.

Waste is segregated into recyclable and non-recyclable wastes. Recyclable waste is disposed of in an environmentally sound manner to authorised recyclers, and other recyclable waste is managed through co-processing in the cement industry, incineration, or secured landfill, based on calorific value. The packing material generated by raw materials and in-process material are disposed through authorised plastic recyclers or via Common Hazardous Waste Collection, Treatment, Storage & Disposal Facilities (CHWTSDF).

We have been consistently enhancing our waste management practices and have embedded them with our circular economy approach. In terms of process improvements, we have:

- Implemented solvent recovery systems to reuse organic solvents in the same process.
- A dedicated lab working exclusively on waste treatability studies and converting by-products into desired intermediates.

- Initiated process of reusing the plastic material used in the internal product transfer for storage and disposal of hazardous, reducing the overall consumption of virgin plastic products and packaging material in our operations.

Additionally, under our “Wealth from Waste” programme, each waste stream is identified and assessed for its environmental and economic footprint. Site-level task forces, led by Site Heads and comprising cross-functional teams, are responsible for driving waste reduction, reuse, and recycling initiatives. These include enhancing the purity of by-products to increase their commercial value, converting waste into usable or less hazardous forms, and integrating waste characterisation early in the R&D phase to enable better downstream waste management.

The programme also promotes employee involvement through shop-floor working groups and, where necessary, engages external experts to support technical innovation in waste valorisation. Progress is reviewed monthly by the Management Committee to ensure alignment with sustainability goals.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes/No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Hikal falls under the purview of Extended Producer Responsibility (EPR) regulations as an importer. Hikal has sought license from relevant statutory body to comply with requirements under EPR.

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective/Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

No, we will be conducting the life cycle assessment of our products in FY 2025-26

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products/services, as identified in the Life Cycle Perspective/Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Not applicable, as we have not conducted the life cycle assessment of our products.

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Given the nature of our pharmaceutical and specialty chemical products, we do not use recycled or reused input materials in the manufacturing process. However, we are recovering more than 90% of process solvents and reusing them in the manufacturing process of pharmaceuticals and agrochemicals products.

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

We are a B2B supplier, providing our products to leading manufacturers who convert intermediates into final products for consumers. Therefore, the responsibility for reclaiming end-use products and packaging material does not apply to us. However, we provide instructions and guidelines to our customers for handling and disposal of our products.

We ensure that waste generated in our manufacturing process, raw material packaging and e-waste, is sent to authorised recyclers wherever possible in accordance with the statutory requirements.

	FY 2024-25			FY 2023-24		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging) in Metric tonnes	Nil	177.65	30.9	67.31	124.22	7.73
E-waste in Metric tonnes	Nil	2.35	Nil	Nil	4.43	Nil
Hazardous Waste in Metric tonnes	Nil	39,797.75	12,743.82	Nil	40,762.56	15,831.41
Other waste in Metric tonnes	4,712.2	1,375.91	Nil	Nil	4,251.11	115.33

Note: The above-reported values are from Hikal's operations.

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Not applicable.

PRINCIPLE 3: Businesses should respect and promote the well-being of all employees, including those in their value chains

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	Percentage of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity benefits		Day care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
				Permanent employees							
Male	1816	1816	100%	1816	100%	-	-	1816	100%	-	-
Female	132	132	100%	132	100%	132	100%	-	-	54	41%
Total	1948	1948	100%	1948	100%	132	100%	1816	100%	54	41%
				Other than Permanent employees							
Male	21	8	38%	0	0%	-	-	-	-	-	-
Female	5	3	60%	0	0%	3	60%	-	-	-	-
Total	26	11	42%	0	0%	3	60%	-	-	-	-

b. Details of measures for the well-being of workers:

Category	Percentage of workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity benefits		Day care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent workers											
Male	114	114	100%	114	100%	-	-	114	100%	-	-
Female	-	-	-	-	-	-	-	-	-	-	-
Total	114	114	100%	114	100%	-	-	114	100%	-	-
Other than Permanent workers											
Male	1453	1453	100%	1453	100%	-	-	-	-	-	-
Female	54	54	100%	54	100%	54	100%	-	-	23	43%
Total	1507	1507	100%	1507	100%	54	100%	-	-	23	43%

c. Details of measures for the well-being of workers:

	FY 2024-25	FY 2023-24
Cost incurred on well-being measures as a % of total revenue of the company	0.27%	0.24%

2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY 2024-25			FY 2023-24		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority
PF	100%	100%	Yes	100%	100%	Yes
Gratuity	100%	100%	Yes	100%	100%	Yes
ESI	100%	100%	Yes	100%	100%	Yes
Others	NA	NA	NA	NA	NA	NA

Note: We have enrolled all our eligible employees and workers under the ESI. For the business locations that are outside the purview of ESI, we have obtained the Workmen's Compensation policy.

3. Accessibility of workplaces

Are the premises/offices of the entity accessible to differently-abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

All our facilities have the necessary infrastructure in place to provide easy access to differently abled employees and workers. Ramps, handrails, accessible washrooms, wider aisles and clear pathways, and elevators are available across our facilities.

Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web link to the policy.

Yes, Hikal is committed to upholding the principles of equal opportunity and inclusion, in alignment with the Rights of Persons with Disabilities Act, 2016. These principles are embedded in our broader human rights and workplace policies, which emphasise non-discrimination and equal treatment for all individuals, including persons with disabilities.

Our Human Rights Policy outlines our commitment to creating an inclusive work environment that values diversity and ensures fair treatment based on merit and ability. The policy also supports awareness and empowerment of differently abled individuals, reflecting our inclusive approach to employment and workplace practices.

Weblink: <https://www.hikal.com/documents/corporate-governance>

4. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	100%	100%
Female	100%	100%	NA	NA
Total	100%	100%	100%	100%

5. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No	If yes, then give details of the mechanism in brief
Permanent workers	Yes	A well-defined grievance redressal mechanism is in place to ensure that concerns and complaints are addressed in a structured and timely manner. The grievance redressal policy clearly outlines the procedures, responsibilities, and timelines for resolution. It is applicable to all employees and workers, including third-party personnel deployed at company premises. Individuals are encouraged to report any unethical conduct, with the assurance of protection under the non-retaliation principle outlined in the Code of Conduct. All grievances and their resolutions are documented in accordance with the policy.
Other than Permanent workers	Yes	
Permanent employees	Yes	
Other than Permanent employees	Yes	
Additionally, at unionised manufacturing facilities, a Works Committee has been constituted to address matters related to working conditions and employee welfare. This committee meets periodically to discuss relevant issues, with each meeting resulting in documented action points and clearly defined roles and responsibilities for follow-up.		

6. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2024-25			FY 2023-24		
	Total employees/workers in respective category (A)	No. of employees/workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees/workers in respective category (C)	No. of employees/workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Permanent employees						
Male	-	-	-	-	-	-
Female	-	-	-	-	-	-
Total	-	-	-	-	-	-



Category	FY 2024-25			FY 2023-24		
	Total employees/workers in respective category (A)	No. of employees/workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees/workers in respective category (C)	No. of employees/workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Permanent workers						
Male	114	114	100%	122	122	100%
Female	-	-	-	-	-	-
Total	114	114	100%	122	122	100%

7. Details of training given to employees and workers

Category	FY 2024-25					FY 2023-24				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Male	1816	1631	89.81%	1886	103.85%#	-	-	-	-	-
Female	132	131	99.24%	117	88.64%#	-	-	-	-	-
Total	1948	1762	90.45%	2003	102.82%#	1939	1627	84%	1939	100%
Workers										
Male	114	114	100%	101	88.60%	-	-	-	-	-
Female	-	-	-	-	-	-	-	-	-	-
Total	114	114	100%	101	88.60%	-	-	-	-	-

Note: Training sessions focused on health and safety are conducted on the shopfloor through initiatives like toolbox talks, safety discussions, and 'one minute for safety' programmes. However, the figures mentioned above represent only the formally recorded sessions held for permanent employees and workers. This data represents special training required to work in the process, however 100% employees are covered in EHS induction training.

The skill upgradation training data exceeds 100% because it includes all employees trained during the year—covering both those who have left the organisation and newly joined staff.

8. Details of performance and career development reviews of employees and worker

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	% (D/C)
Employees						
Male	1816	1816	100%	1829	1829	100%
Female	132	132	100%	110	110	100%
Total	1948	1948	100%	1939	1939	100%

Note: We have considered only permanent employees in the performance review process.

9. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/No). If yes, the coverage such system?

Yes, we have implemented Occupational Health and Safety Management System (ISO 45001) across all our manufacturing facilities. All five manufacturing facilities are certified under the ISO 45001:2018 Occupational Health and Safety Management System. Our Research & Technology Center is currently undergoing the certification process, and similar efforts are in progress to obtain ISO 45001:2018 certification for the Pune R&D Centre.

We are committed to maintaining safe operations across all our sites. To foster a strong safety culture, we have implemented several initiatives, including “Surakshapath”, a behaviour-based safety programme aimed at minimising behavioural risks. In addition, safety awareness programmes such as “One Minute for Safety,” “EHS Induction,” “Weekly Wet Drills,” and “Mock Drills” are regularly conducted to reinforce safety practices in the workplace.

Emergency contact numbers, exit plans, emergency sirens, fire alarms, safety signage, and evacuation maps are prominently displayed at all locations to proactively address occupational health and safety (OHS) risks.

To drive continuous improvement, we have also implemented cross-functional safety audits at all sites, conducted by the Corporate EHS team, to ensure continuous improvement.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

We have robust systems to identify, assess and mitigate work-related hazards and risks. A structured Hazard Identification and Risk assessment (HIRA) process is implemented for both routine and non-routine activities, while Hazard and Operability (HAZOP) studies are conducted for process related risks at all our facilities. Additionally, we developed a guidance document where all identified hazards and risks associated with our operations are outlined to standardise implementation of safety measures. Permit to work (PTW), process hazard analysis (PHA), and job safety analysis (JSA) assessments are also regularly carried out.

At all our facilities, we have a dedicated EHS team to identify, assess and mitigate risks, monitor the implementation of safety measures, conduct a weekly safety inspection, and provide regular training on safety-aspects to employees and workers. There are periodic internal and external audits conducted to assess the effectiveness of occupational health and safety processes implemented at our facilities.

We analyse and generate safety related data of chemicals externally through recognised laboratory and use it in facility design to ensure inherent safety in infrastructure and operation. There are dedicated employees for process safety management at our R&T centre.

We have set up a process safety laboratory at R&T Pune to carry out various safety-related tests of reaction calorimetry of new processes to ensure inherent safe processes in new projects.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Yes, we have a well-defined system in place for identify and reporting work-related hazards. Through the MY SETU software platform (available at all sites), employees can digitally at all the any work-related hazards/risks such as near misses, unsafe conditions, injuries, and other serious incidents. Each report/incident is followed by a detailed root cause analysis, development and implementation of corrective action plans, and monitoring of the effectiveness of safety measures. All the reported issues can be tracked by employees online till its closure using their individual login credentials.

In addition, daily safety briefing sessions/toolbox talks are conducted at all sites. These sessions encourage active participation from workers to share suggestions for strengthening the safety measures at the sites and fostering a culture of continuous improvement and shared responsibility.

d. Do the employees/worker of the entity have access to non-occupational medical and healthcare services? (Yes/No)

Yes, all our employees and workers have access to non-occupational medical and healthcare services. We have onsite medical centers at our facilities that have a round-the-clock Operating Outpatient Department (OPD) with qualified medical officers and support staff for any medical emergencies and consultation for non-occupational health issues.

All employees are covered under group accidental and medical insurance policies. At all our facilities, we ensure that contractors obtain accidental insurance policy/workmen compensation policy and workers obtain ESIC.

10. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY 2024-25	FY 2023-24
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0	0
	Workers	0	0.3
Total recordable work-related injuries	Employees	0	0
	Workers	0	1
No. of fatalities	Employees	0	0
	Workers	0	0
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	0	0

11. Describe the measures taken by the entity to ensure a safe and healthy workplace.

We have implemented a robust safety management system in aligned with ISO 45001:2018 guidelines and principles to ensure a safe and healthy workplace across all facilities. Maintaining the highest safety standards across our facilities is one of our top-most priorities.

- We conduct Industrial Hygiene Exposure Quantitative Assessment, Quantitative Risk Assessment (QRA), Hazard Identification and Risk assessment (HIRA), and implement Hazard operability (HAZOP) techniques to identify the hazards and provide required engineering measures to minimize the risks.
- Before starting any project or activity, we mandatorily conduct HIRA and PSSR (Pre-Start-Up Safety Review), implement safety measures, and provide safety training.
- Toolbox talks are done daily for each shift. Regular site inspections and safety audits are conducted by both internal teams and external auditors to assess the safety readiness at our facilities.
- Mandatory safety training is part of the induction programme and periodic refresher training sessions are conducted by internal teams and external experts on various safety and occupational health-related aspects.
- All employees and workers are provided with Personal Protective Equipment (PPE) and safety Supervisors/Managers regularly oversee activities. Work permits are issued for activities through structured work permit system.
- Pre-employment medical examinations and periodic medical examinations are conducted for employees and workers to identify any occupational disease at the initial stage and provide a necessary course of treatment.
- Recognition programmes are in place to reward individuals and teams for exemplary safety practices and contributions.

12. Number of Complaints on the following made by employees and workers:

	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	Nil	Nil	Not Applicable	Nil	Nil	Not applicable
Health & Safety	Nil	Nil	Not applicable	Nil	Nil	Not applicable

Note: We have not received any complaints from employees and workers regarding working conditions and Health & safety-related issues in the reporting period. However, we conduct safety committee meetings regularly at all our sites, where employees/workers share their suggestions for improving the working environment.

13. Assessment for the year:

	Percentage of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working conditions	100%

Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks/concerns arising from assessments of health & safety practices and working conditions.

We have a defined process to thoroughly investigate all the incidents and share the learning across sites to ensure the non-occurrence of similar incidents. Through our awareness programmes and employee connect sessions, we encourage our employees and workers, to report any unsafe acts and conditions. During the reporting period, no major safety incident occurred. We continue to tweak and add safety measures to ensure safety of all our employees. Some safety measure additions are outlined below:

- **Infrastructure and Equipment Upgrades**
 - Added water and foam-based sprinkler systems installed across all production blocks, process buildings, warehouses and storage areas.
 - Switched to fire rated cabinets for storage of flammable solvents in our lab.
 - Added fixed oxygen sensors in lab areas where nitrogen connection is taken.

- Provided lower explosive limit ‘LEL’ sensors at raw material warehouses and storage tank areas.
- Continuous earth monitoring system was installed at Jigani U2
- **Process and Chemical Safety**
 - Dimethyl sulphate drum manual handling by workers has stopped. Instead, we have moved to start receiving tankers to enhance safe use of chemicals.
 - Additional fall arrestors were provided in tanker unloading area.
 - Procured flood emergency control rescue kits and provided training to employees in case of an adverse event
 - HAZOP and PSSR procedures implemented before scale-up batches at kilo labs.
 - Process Safety Lab established to evaluate thermal and chemical hazards, optimize processes, and reduce environmental impact.
- **Safety Governance and Culture**
 - Safety culture transformation initiated using Bradley Curve Framework.
 - Implemented comprehensive Process Safety Management (PSM) system covering technical transfers, Process Safety Information (PSI), Process Hazard Analysis (PHA) Permit to Work, QRA, HAC, SIL, and Pre-Startup Safety Reviews (PSSR).
 - Conducting cross-functional safety audits biannually but the corporate EHS team
 - Renovated the Occupational Health Centre (OHC) to include provision of dedicated room for female employees.
 - Local safety committees formed across departments with scheduled monthly meetings.
 - Gemba Walks and monthly plant safety inspections initiated.
 - Toolbox talks system implemented across labs and support functions.
 - Safety talks for visitors introduced with site layout and safety instructions displayed on LED boards.
 - National Safety Month and Environment Week celebrated with active employee participation.
 - Monthly employee safety recognition and night shift safety rounds introduced.
- **Occupational Health and Emergency Preparedness**
 - Renovation of Occupational Health Centres (OHCs), including dedicated facilities for female employees.
 - Round-the-clock medical and emergency response support, including ambulance services and antidote availability.
 - Periodic health check-ups and counselling sessions on lifestyle diseases.
 - Special health checks for employees handling hazardous chemicals.
 - Emergency Control Rescue kits procured, and training conducted.
 - Mock drills conducted regularly to test emergency preparedness across various scenarios.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

Yes

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

We expect all our value chain partners to comply with applicable statutory requirements and implement necessary operational controls to ensure the timely deduction and deposition of applicable statutory dues. This expectation is integral to our commitment to responsible business conduct and regulatory compliance across the supply chain.

3. Provide the number of employees/workers having suffered high consequence work-related injury/ill-health/fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Employees	Nil	Nil	Nil	Nil
Workers	Nil	Nil	Nil	Nil

4. Does the entity provide transition assistance programmes to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/No)

Yes, we provide transition assistance to facilitate continued employability and the management of career endings resulting from retirement or termination of employment. We periodically conduct skill development training sessions across our facilities that enable employees to enhance their skills. These sessions assist them in pursuing new employment post-retirement or termination. We also have a retainership practice to provide continued employment to our retired employees based on organisational needs and individual expertise.

5. Details on assessment of value chain partners:

	Percentage of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices*	100%
Working Conditions *	100%

* We have defined a supplier evaluation criterion based on which we conduct the assessment of our critical value chain partners that are based in India via onsite and offsite audits. It primarily focuses upon responsible business principles, Environment, Health and Safety (EHS), quality ESG principles and statutory requirements.

6. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from assessments of health and safety practices and working conditions of value chain partners.

There were no significant risks/concerns related to health and safety practices and working conditions of value chain partners reported during the financial year.

We have standard operating procedure for EHS risk evaluation of our value chain partners. Our cross functional team, comprising employees from EHS, QA and production, carry out onsite/offsite audits of our value chain partners. We have systems to identify the EHS risk and define Corrective and Preventive Actions (CAPA) in consultation with our value chain partner to ensure the closure of identified risks.

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

At Hikal, we consider stakeholder engagement a key foundation for sustainable growth and long-term value creation. Through our materiality assessment, we identify key stakeholder groups based on their influence on our operations and the extent to which they are impacted by our activities. These include customers, employees, investors and shareholders, communities, suppliers, government and regulatory bodies, industry institutions, and the media. We maintain regular and transparent communication with these groups through structured and need-based interactions, enabling us to understand their expectations, address concerns, and incorporate their insights into our strategic decisions. This ongoing engagement helps us build trust, manage risks proactively, and align our business priorities with stakeholder interests.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalised Group (Yes/No)	Channels of communication	Frequency of engagement	Purpose and scope of engagement including key topics and concerns raised during such engagement
Customers	No	1. Customer meetings 2. Official communication channels: advertisements, publications, website, and social media 3. Conferences and events 4. Customer feedback and satisfaction survey	Ongoing	1. Timely delivery 2. Wide range of high-quality products that meet customer requirements 3. Competitive pricing 4. Easy availability through large distribution network 5. Post-sales support
Employees	No	1. Timely internal communications 2. Capability development programmes 3. Performance appraisal 4. Grievance redressal mechanisms 5. Wellness programmes 6. Town Hall Meeting 7. MD Connect 8. Women Forum	Ongoing	1. Satisfaction and motivation 2. Fair wages and rewards 3. Improved work-life balance 4. Regular training and skill development 5. Career growth 6. Safe and secure work environment Healthy workplace
Investors and Shareholders	No	1. Analyst meets 2. Quarterly calls, financial reports, and presentations 3. Annual general meetings Annual reports 4. Official communication channels: advertisements, publications, website, and social media	Quarterly/ need-based	1. Sustainable growth and returns 2. High standards of corporate governance and risk management
Community	Yes	1. CSR partnerships 2. Community welfare programmes Meetings and briefings 3. Training and workshops Impact assessment surveys 4. Official communication channels: advertisements, publications, websites and social media 5. Complaints and grievance mechanism	Ongoing	1. Infrastructure development 2. Funding for community development 3. Training and livelihood programmes 4. Contribution to the local economy
Institutions and Industry Bodies	No	1. Conferences 2. Joint R&D initiatives 3. Internship opportunities for students	Need-based	1. Exchange of knowledge 2. Collaboration in R&D 3. Industry exposure for students

Stakeholder Group	Whether identified as Vulnerable & Marginalised Group (Yes/No)	Channels of communication	Frequency of engagement	Purpose and scope of engagement including key topics and concerns raised during such engagement
Suppliers	No	1. Supplier development initiatives 2. Vendor assessment and review 3. Training workshops and seminars 4. Supplier audits 5. Official communication channels: 6. Advertisements, publications, website, and social media	Ongoing	1. Timely payment 2. Continuity of orders 3. Capacity building 4. Transparency
Government and Regulators	No	1. Statutory compliances filings and meetings 2. Official communication channels: Advertisements, publications, websites, and social media 3. Phone calls, emails, and meetings 4. Regulatory audits/inspections	Need-based	1. Aligning with the government to support economic development 2. Continued contribution to the exchequer
Media and Analysts	No	1. Press releases, media interviews, email advisories 2. Website management 3. Social media posts and updates	Need-based	1. Effective communication 2. Accountability and transparency. 3. Brand image creation

Leadership Indicators

1. **Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

We have established structured mechanisms to facilitate regular and meaningful engagement with our key stakeholder groups on economic, environmental, and social matters. These engagements are led by site heads and business leaders who interact with both internal and external stakeholders through formal and informal channels. For internal stakeholders, platforms such as Town Hall meetings, functional reviews, and the “CEO Connect” sessions with the Managing Director provide opportunities for open dialogue and feedback.

Externally, we engage with community representatives, regulatory bodies, suppliers, and customers through periodic consultations, surveys, and collaborative forums. Insights and feedback gathered from these stakeholder interactions are systematically reviewed and, where material, escalated to the Board of Directors. This ensures that the Board remains informed of stakeholder expectations and emerging ESG risks and opportunities, enabling them to integrate these perspectives into strategic decision-making.

2. **Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes/No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

Yes, stakeholder consultation is used to support the identification and management of environmental, and social topics. We have engaged with internal and external stakeholder groups to identify and priorities the material ESG topics that are relevant for stakeholders and important for our business operations. We believe that regular engagement with stakeholders is essential for long-term value creation, and we keep enhancing our processes based on the suggestions received from stakeholders.

Yes, stakeholder consultation plays a vital role in identifying and managing environmental and social topics. As part of our materiality assessment process, the Company’s management evaluates inputs from internal stakeholders, industry benchmarks, and global sustainability standards to determine key ESG priorities. These consultations help us align our sustainability agenda with stakeholder expectations and emerging risks and opportunities. The insights gathered are systematically integrated into our policies, programmes, and strategic planning to ensure that our actions remain relevant, responsible, and future-focused.

3. **Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/marginalized stakeholder groups.**

Our CSR strategy is focused on creating equitable opportunities for vulnerable and marginalized communities. In FY 2024–25, all CSR initiatives were designed to directly benefit these groups, ensuring 100% targeted impact.

We concentrated our CSR efforts in:

- **Education:** Enhanced learning environments by supporting teaching resources, distributing educational materials, and enabling digital access for underserved students.
- **Healthcare and Livelihood:** Provided medical and livelihood support to individuals facing critical health and socio-economic challenges, including persons with disabilities, widows, and cancer patients. Infrastructure support was extended to public institutions to improve service delivery.
- **Environmental Responsibility:** Advanced environmental awareness and conservation through community-based programmes and partnerships.

All projects were implemented in collaboration with credible NGOs and local stakeholders to ensure contextual relevance, transparency, and long-term sustainability.

PRINCIPLE 5: Businesses should respect and promote human rights

Essential Indicators

1. **Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:**

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. of employees/ workers covered (B)	% (B/A)	Total (C)	No. of employees/ workers covered (D)	% (D/C)
Employees						
Permanent	1948	1900	97.54%	1939	1879	96.91%
Other than permanent	26	25	96.15%	15	13	86.67%
Total Employees	1974	1925	97.52%	1954	1892	96.83%
Workers						
Permanent	114	113	99.12%	122	120	98.36%
Other than permanent	1507	1250	82.95%	1392	Records not maintained	
Total Workers	1621	1363	84.08%	1514	120	7.93%

2. **Details of minimum wages paid to employees and workers, in the following format**

Category	FY 2024-25					FY 2023-24				
	Total (A)	Equal to minimum wage		More than minimum wage		Total (D)	Equal to minimum wage		More than minimum wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
	Employees									
Permanent										
Male	1816	-	-	1816	100%	1829	-	-	1829	100%
Female	132	-	-	132	100%	110	-	-	110	100%
Other than Permanent										
Male	21	-	-	21	100%	10	-	-	10	100%
Female	5	-	-	5	100%	5	-	-	5	100%

Category	FY 2024-25					FY 2023-24				
	Total (A)	Equal to minimum wage		More than minimum wage		Total (D)	Equal to minimum wage		More than minimum wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
	Workers									
Permanent										
Male	114	-	-	114	100%	122	-	-	122	100%
Female	0	-	-	0	-	0	-	-	0	100%
Other than Permanent										
Male	1453	1453	100%	-	-	1323	1323	100%	-	-
Female	54	54	100%	-	-	69	69	100%	-	-

3. Details of remuneration/salary/wages, in the following format:

a. Median remuneration/wages

	Male		Female	
	Number	Median remuneration/salary/wages of the respective category in INR	Number	Median remuneration/salary/wages of the respective category in INR
Board of Directors (BoD)	8	21,87,500	3	16,37,500
Key Managerial Personnel	5	1,60,60,000	NA	0
Employees other than BoD and KMP#	1811	5,70,063	132	5,01,500
Workers#	114	7,47,648	NA	-

b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

	FY 2024-25	FY 2023-24
Gross wages paid to females as % of total wages	6%	5%

4. Do you have a focal point (Individual/Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes, Head of Human Resources department serves as the designated focal point for addressing human rights impacts or issues caused or contributed to by the business.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

We have a structured internal mechanism to address human rights related grievances. This includes a formal grievance redressal policy that outlines clear procedures, responsibilities, and timelines for resolution. In addition, we have implemented supporting frameworks such as the Prevention of Sexual Harassment (POSH) Policy, Whistleblower Policy, and our Code of Conduct, all of which reinforce our commitment to upholding the rights of internal and external stakeholders. These mechanisms ensure confidentiality, non-retaliation, and fair investigation. Oversight is provided by the Management Committee, which ensures that all concerns are addressed promptly and in alignment with our ethical standards and legal obligations.

6. Number of Complaints on the following made by employees and workers:

Category	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual harassment	Nil	Nil	Nil	Nil	Nil	Nil
Discrimination at workplace	Nil	Nil	Nil	Nil	Nil	Nil
Child labour	Nil	Nil	Nil	Nil	Nil	Nil
Forced labour/ Involuntary labour	Nil	Nil	Nil	Nil	Nil	Nil
Wages	Nil	Nil	Nil	Nil	Nil	Nil
Other human rights related issues	Nil	Nil	Nil	Nil	Nil	Nil

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2024-25	FY 2023-24
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	Nil	Nil
Complaints on POSH as a % of female employees/workers	Nil	Nil
Complaints on POSH upheld	Nil	Nil

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

We have robust safeguards in place to ensure that individuals who raise concerns related to discrimination or harassment are protected throughout the grievance process. Our Grievance Redressal Policy, POSH Policy, and Whistleblower Policy clearly outline procedures for confidential reporting, fair investigation, and timely resolution. These frameworks emphasise non-retaliation and guarantee that no adverse action is taken against complainants or witnesses. All complaints are handled with strict confidentiality, and access to sensitive information is restricted to authorised personnel only. We actively promote a speak-up culture across the organisation and regularly sensitise employees on their rights and the available redressal mechanisms. During FY 2024–25, no complaints related to harassment or discrimination were reported.

9. Do human rights requirements form part of your business agreements and contracts?

Yes, human rights requirements are incorporated into our business agreements and contracts with contractors and vendors. These agreements include provisions that prohibit the engagement of child labour and require adherence to all applicable statutory obligations under Indian law. Contractors are also required to maintain confidentiality and comply with the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

Furthermore, the Supplier Code of Conduct and the Green Supply Chain Policy are integral components of all supplier contracts, reinforcing our commitment to ethical practices, sustainability, and responsible business conduct across our supply chain.

10. Assessments for the year:

	Percentage of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	100%
Forced Labour/Involuntary Labour	100%
Sexual Harassment	100%
Discrimination at workplace	100%
Wages	100%
Others-please specify	NA

11. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from the assessments at Question 9 above.

No issues related to above-mentioned aspects were identified during the assessment.

Leadership Indicators

1. Details of a business process being modified/introduced as a result of addressing human rights grievances/complaints.

Not applicable.

2. Details of the scope and coverage of any Human rights due diligence conducted.

In alignment with our commitment to ethical business practices and responsible value chain management, the Company undertook a comprehensive Human Rights Due Diligence (HRDD) assessment in 2024. The assessment was conducted in accordance with internationally recognised frameworks, including the UN Guiding Principles on Business and Human Rights and the OECD Guidelines for Multinational Enterprises.

The scope of the assessment included:

- **Onsite evaluations** at three manufacturing locations—Jigani Unit 1 (Karnataka), Panoli (Gujarat), and Taloja (Maharashtra)—along with the corporate office.

- **Review of internal policies and procedures**, including those related to labour practices, health and safety, non-discrimination, and freedom of association.
- **Interviews with employees and subcontractors**, and verification of the documentation such as wage records, working hours, and grievance redressal mechanisms.
- Assessment of key governance instruments such as the Code of Conduct, Policy on Prohibition of Child and Forced Labour, Vendor Code of Conduct, Recruitment and Subcontractor Management Policies, and the Whistleblower and Grievance Redressal Mechanisms.

The objective of the HRDD was to identify, assess, and address potential human rights risks across our operations and extended supply chain. The findings have assisted us to further strengthen due diligence systems, enhance contractor oversight, and ensure continuous alignment with statutory and ethical standards.

Our Corporate and Site Human Resource teams remain actively engaged in monitoring compliance and implementing corrective actions where necessary, thereby reinforcing our commitment to upholding human rights across all levels of operation.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Our facilities are equipped with key accessibility features to support ease of movement for differently abled individuals. Ramps are strategically placed at main entry points, and handrails are installed along staircases across all site workplaces. These enhancements are part of our ongoing efforts to create a more inclusive and accessible environment for all.

4. Details on assessment of value chain partners:

We are conducting the assessment of our critical value chain partners that are based in India. The assessment cover aspects related to human rights, business integrity, Environment, Health, and Safety (EHS), ESG Principles and statutory compliance. Also, as per our code of conduct, we expect our suppliers to adhere with the principles of human rights.

	Percentage of value chain partners (by value of business done with such partners) that were assessed
Child labour	100%
Forced Labour/Involuntary Labour	100%
Sexual Harassment	100%
Discrimination at workplace	100%
Wages	100%
Others- Retention of any original documents	100%

Note: The above-mentioned values are limited to critical business value chain partners that are based in India.

5. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from the assessments at Question 4 above.

Not applicable

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Parameters	Units	FY 2024-25	FY 2023-24
From renewable sources			
Total electricity consumption (A)	Giga Joules (GJ)	188,455.1	149,791.56
Total fuel consumption (B)	GJ	850,003.4	727,437.04
Energy consumption through other sources (C)	GJ	0	0
Total energy consumed from renewable sources (A+B+C)	GJ	1,038,458.5	877,228.61
From non-renewable sources			
Total electricity consumption (D)	GJ	196,764.2	294,036.22
Total fuel consumption (E)	GJ	112,758.6	249,390.66
Energy consumption through other sources (F)	GJ	Nil	Nil
Total energy consumed from non-renewable sources (D+E+F)	GJ	309,522.7	543,426.88
Total energy consumption (A+B+C+D+E+F)	GJ	1,347,981.2	1,420,655.49
Energy intensity per rupee of turnover (Total energy consumed/Revenue from operations)	GJ/INR million	72.5	79.61
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed/Revenue from operations adjusted for PPP)	GJ/USD million	1,477.1	1821.55
Energy intensity in terms of physical output	GJ/MT	116.4	131.61

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N)

Yes

2. Does the entity have any sites/facilities identified as the designated consumers (DCs) under Performance, Achieve and Trade (PAT) Scheme of the Government of India? yes (Y/N) If, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any

Not applicable, since we do not have any site as the designated consumers (DCs) under Performance, Achieve and Trade (PAT) Scheme of the Government of India.

3. Provide details of the following disclosures related to water, in the following format:

Parameters	Units	FY 2024-25	FY 2023-24
Water withdrawal by source	kilolitre (kL)		
(i) Surface water	kilolitre (kL)	Nil	0
(ii) Groundwater	kilolitre (kL)	Nil	0
(iii) Third party water (Industrial Estate MIDC/GIDC)	kilolitre (kL)	897,997	908,509.50
(iv) Seawater/desalinated water	kilolitre (kL)	Nil	0
(v) Others	kilolitre (kL)	Nil	0
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	kilolitre (kL)	897,997	908,509.50
Total volume of water consumption (in kilolitres)	kilolitre (kL)	572,783	609,607.50
Water intensity per rupee of turnover (Total water consumption/Revenue from operations)	kL/INR million	30.8	34.16
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption/Revenue from operations adjusted for PPP)	kL/USD million	627.7	781.63
Water intensity in terms of physical output	kL/MT	49.5	56.47

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N)

Yes

4. Provide the following details related to water discharged:

Parameters	Units	FY 2024-25	FY 2023-24
Water discharge by destination and level of treatment			
To Surface water			
- No treatment	kilolitre (kL)	Nil	Nil
- With treatment - Please specify level of treatment	kilolitre (kL)	Nil	Nil
To Groundwater			
- No treatment	kilolitre (kL)	Nil	Nil
- With treatment - Please specify level of treatment	kilolitre (kL)	Nil	Nil
To Seawater			
- No treatment	kilolitre (kL)	Nil	Nil
- With treatment - Please specify level of treatment	kilolitre (kL)	Nil	Nil
Sent to third parties			
- No treatment	kilolitre (kL)	Nil	Nil
- With treatment - Tertiary treatment	kilolitre (kL)	325,214	298,902
Others			
- No treatment	kilolitre (kL)	Nil	Nil
- With treatment - ZLD	kilolitre (kL)	110,334.2#	95,660.54#
Total water discharged	kilolitre (kL)	435,548.2	394,562.54

We have reported the water reused via the Zero Liquid Discharge plant (ZLD) in utilities.

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N)

No

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Yes, we have implemented a mechanism for 100% Zero Liquid Discharge (ZLD) at three out of five manufacturing facilities. During the reporting period, we have implemented a state-of-the-art ZLD system at our Research and Technology (R&T) facility in Pune. Our ZLD facilities across sites consist of primary treatment, secondary effluent treatment/MBR and MEE/MVRE with ATFD, and then reverse osmosis for tertiary treatment to reuse treated effluent for utility consumption. We also have a Sewage Treatment Plant (STP) at these facilities. The treated wastewater is used within the plant's premises for gardening and cooling tower make-up purposes.

At other manufacturing facilities, we have installed both Effluent Treatment Plants (ETPs) and STPs for treating effluents and wastewater as per the statutory guidelines. After treatment, we utilise treated water for internal usage to the extent possible and responsibly discharge the remaining treated water in compliance with legal requirements.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

We are monitoring the air emissions in accordance with the statutory requirements and monitoring across our sites are carried out by the approved laboratories of the respective state pollution control boards. The concentration of all the parameters is within the permissible range and details of air emissions are submitted annually to the respective pollution control boards.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameters	Units	FY 2024-25	FY 2023-24
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	12,664.34	21,410.71
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	45,655.89	67,287.01
Total Scope 1 and Scope 2 emissions per rupee of turnover	Metric tonnes of CO ₂ equivalent/ INR million	3.1	4.97
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP)	Metric tonnes of CO ₂ equivalent/ USD million	63.9	113.72
Total Scope 1 and Scope 2 emission intensity in terms of physical output	Metric tonnes of CO ₂ equivalent/ Metric tonnes	5.0	8.22

Note: Scope 1 and 2 emissions intensity, per unit of physical output, has decreased due to the transition from natural gas and fuel oil to purchased briquette-generated steam, and increased renewable electricity procurement.

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N)

Yes

8. Does the entity have any project related to reducing Green House Gas emission? If yes, then provide details.

Hikal has been following a systematic approach to its energy conservation programme. An Energy Conservation (EnCon) Committee was constituted at the corporate level in 2021, and the Energy Conservation Policy is reviewed regularly. The EnCon Committee drives initiatives for conserving energy and natural resources across the company, aiming to achieve long-term sustainability.

Crop Protection Business

The following energy saving initiatives have been implemented at Taloja, Mahad and Panoli site of Crop Business:

- To maintain the power factor, the HT capacitor capacity was enhanced from 450 KVAR to 600 KVAR, resulting in more efficient power usage, reduced energy costs, improved voltage stability, and increased electrical infrastructure capability. – Taloja
- Reducing the transformer voltage from 415 V to 405 V enhanced safety, promoted energy conservation, and improved power quality. – Taloja
- We invested in a turbine for cogeneration of electricity from our briquette-fed boiler using high-pressure steam. This has strengthened our in-house clean energy generation. Previously, this operation was managed by an external agency on a contract basis. – Taloja
- We replaced our old pump (P-525) with a high-efficiency pump to reduce power consumption in the utilities section. – Taloja
- We automated our streetlights to reduce power usage. Manual switching was causing excess consumption due to early or delayed switching. – Taloja
- We provided a cooling water supply line to the pilot plants, eliminating the need for a separate cooling tower. This resulted in power savings by stopping Pump P-2910 of the pilot plant cooling tower. – Taloja

- A flash jet pump was installed in the MEE section to recover flash steam and route it to the boiler feedwater tank, improving the steam-to-fuel ratio (SFR) of both the briquette and LSHS boilers. – Mahad
- We began recycling flash steam from the condensate tank of the MPP-1 melter, reducing energy loss in the system. – Panoli
- We started utilising flash steam from the condensate tank for hot water generation in MPP-1 LLE, reducing energy loss from steam condensate. – Panoli
- We eliminated the soft water transfer pump by directly feeding makeup water into the 40 KL boiler soft water storage tank, resulting in the shutdown of one pump and energy conservation. – Panoli

Pharmaceuticals Business

The following energy saving initiatives have been implemented at Panoli and Jigani site of Pharma Business:

- Energy conservation measures were implemented to improve the boiler’s Steam-to-Fuel Ratio (SFR). The SFR was enhanced from 3.85 to 3.95, resulting in a fuel saving of 697 MT. Additionally, improved cogeneration boiler efficiency reduced the operating hours of the LSHS boiler, saving 292.39 MT of furnace oil (FO). – Jigani 1
- Motion sensors were installed in office areas to automatically switch off lights when the space is unoccupied. – Jigani 2
- Retrofit lighting was carried out in flameproof process areas, converting CFL lighting to energy-efficient LED lighting. – Jigani 2
- Power consumption was reduced by replacing the MS-FRP impeller with a new PP-FRP impeller for VUE-5001 (39,000 CFM). – Jigani 2

Hikal has continued its journey toward adopting clean fuel and energy across its operations at the Mahad, Taloja, and Panoli plants. The use of solar and wind power has been implemented at the Mahad, Taloja, Jigani Unit 1 and Panoli sites.

Significant cost savings have been achieved through the adoption of alternative energy sources at our Mahad, Taloja, Panoli, and Jigani locations.

Total cost saved is as follows.

- Panoli – INR 27.03 million
- Taloja – INR 53.5 million
- Mahad – INR 23.80 million
- Jigani 1 – INR 29.65 million

9. Provide details related to waste management by the entity, in the following format:

Parameters	Units	FY 2024-25	FY 2023-24
Total Waste generated			
Plastic waste (A)	Metric tonnes	208.62	208.74
E-waste (B)	Metric tonnes	2.35	3.23
Bio-medical waste (C)	Metric tonnes	0.017	0.06
Construction and demolition waste (D)	Metric tonnes	0	0
Battery waste (E)	Metric tonnes	8.363	0.007
Radioactive waste (F)	Metric tonnes	0	0
Other Hazardous waste. Please specify, if any. (G)	Metric tonnes	52,535.58	57,438.13
Other Non-hazardous waste generated (H)	Metric tonnes	6,089.38	5,137.67
Total (A + B + C + D + E + F + G + H)	Metric tonnes	58,844.31	62,787.84

Parameters	Units	FY 2024-25	FY 2023-24
Waste intensity per rupee of turnover (Total waste generated/Revenue from operations)	Metric tonnes/ INR million	3.2	3.5
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated/Revenue from operations adjusted for PPP)	Metric tonnes/ USD million	64.5	80.5
Waste intensity in terms of physical output	Metric tonnes/ Metric tonnes	5.1	5.8

For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)

Category of waste			
(i) Recycled	Metric tonnes	41,353.7	37,865.5
(ii) Re-used	Metric tonnes	4,712.2	3,984.00
(iii) Other recovery operations	Metric tonnes	0.0	1,839.00
Total	Metric tonnes	46,065.9	43,688.45

For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)

Category of waste			
(i) Incineration	Metric tonnes	2,389.9	2,789.98
(ii) Landfilling	Metric tonnes	10,384.8	10,568.57
(iii) Other disposal operations	Metric tonnes	0.0	9,297.04
Total	Metric tonnes	12,774.7	22,655.58

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N)
Yes

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

As a pharmaceutical and specialty chemical manufacturing company, responsible waste management remains a top priority. Our practices are continuously evolving and are closely aligned with our circular economy approach. We follow the 3R principle—Reduce, Reuse, and Recycle—and have established standard operating procedures for the handling of hazardous, non-hazardous, e-waste, and biomedical waste.

Each facility has dedicated teams to ensure proper waste segregation at source, along with safe handling, storage, and disposal in accordance with applicable regulatory requirements and recognised industry practices. Hazardous waste generated from operations is managed in an environmentally responsible manner through authorised recyclers, the cement industry, and Common Hazardous Waste Treatment, Storage & Disposal Facilities (CHWTSDF). Similarly, 100% of e-waste is routed through authorised vendors, and plastic waste is recycled via authorised recyclers.

The other non-hazardous waste such as scrap metal, wood waste, glass, cardboard, paper, etc. was disposed of via recyclers.

In terms of process improvements, we are using recovered solvents in the process to reduce fresh solvent consumption. We have a dedicated lab working exclusively on waste treatability studies and have converted by-products into desired intermediates by using a simple process, which in turn reduced the hazardous organic waste to a great extent. Also, we are enhancing our effluent treatment plants to enhance wastewater/effluent recycling capabilities.

Regular inspections are conducted to assess waste handling infrastructure, with improvements implemented to enhance efficiency and environmental performance. Additionally, the “Wealth from Waste” programme has been introduced to identify opportunities for recycling, reduction, and reuse of waste materials.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals/clearances are required, please specify details in the following format:

S. No	Location of operations/offices	Type of operations	Whether the conditions of environmental approval/clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
1	Jigani Unit	Manufacturing of pharmaceuticals	Yes, as per the Environmental Clearance (EC) recommendation, we have already applied for the No Objection Certificate (NOC) from Bannerghatta National Park (Forest Department). We have been following up with the agency to get the NOC. In addition, we have defined a process to prevent any adverse impact on the ecology.

We have defined processes and implemented necessary pollution control mechanisms to prevent any adverse impact on the ecology. Our dedicated team ensure the operations of all the pollution controlling equipment, zero liquid discharge and proper waste management in accordance with statutory requirements and industry best practices.

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year

Not applicable.

13. Is the entity compliant with the applicable environmental law/regulations/guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

Yes, the Company is compliant with all applicable environmental laws and regulations.

Leadership Indicators

1. Water withdrawal, consumption, and discharge in areas of water stress

For each facility/plant located in areas of water stress, provide the following information:

I. Name of the area: Jigani, Bangalore

II. Nature of operations: Manufacturing of pharmaceuticals

III. Water withdrawal, consumption, and discharge in the following format:

Parameters	Units	FY 2024-25	FY 2023-24
Water withdrawal by source			
(i) Surface water	kilolitre (kL)	Nil	Nil
(ii) Groundwater	kilolitre (kL)	Nil	Nil
(iii) Third party water	kilolitre (kL)	192,815	174,285.5
(iv) Seawater/desalinated water	kilolitre (kL)	Nil	Nil
(v) Others	kilolitre (kL)	Nil	Nil
Total volume of water withdrawal (i + ii + iii + iv + v)	kilolitre (kL)	192,815	174,285.5
Total volume of water consumption	kilolitre (kL)	192,815	174,285.5
Water intensity per rupee of turnover (Water consumed/turnover)		19.99	16.50
Water discharge by destination and level of treatment			
Into Surface water			
- No treatment	kilolitre (kL)	Nil	Nil
- With treatment – Please specify level of treatment	kilolitre (kL)	Nil	Nil
Into Groundwater			
- No treatment	kilolitre (kL)	Nil	Nil

Parameters	Units	FY 2024-25	FY 2023-24
- With treatment – Please specify level of treatment	kilolitre (kL)	Nil	Nil
Into Seawater			
- No treatment	kilolitre (kL)	Nil	Nil
- With treatment – Please specify level of treatment	kilolitre (kL)	Nil	Nil
Sent to third-parties			
- No treatment	kilolitre (kL)	Nil	Nil
- With treatment – Please specify level of treatment	kilolitre (kL)	Nil	Nil
Others			
- No treatment	kiloliter (kL)	Nil	Nil
- With treatment – Tertiary treatment	kiloliter (kL)	96,598.02	87,937.75
Total water discharged		Nil	Nil

Note: We have maintained zero liquid discharge status at our Jigani Unit. After the tertiary treatment of effluent, the treated water is used for utility and cooling tower make up process. Domestic wastewater is treated separately in Sewage Treatment Plant and is used for the gardening purpose.

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N)

Yes

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameters	Units	FY 2024-25	FY 2023-24
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	1,91,158.53	1,38,471.19
Total Scope 3 emissions per rupee of turnover		10.27	7.76

Note: In the FY 2024-25, there is a 38% increase in total scope 3 emissions as compared to previous financial year, i.e., FY 2023-24. This rise is primarily attributable to Scope 3 Category 1 – Purchased Goods and Services. This year, we have followed a more granular approach for calculating emissions associated with the raw materials procured.

However, when comparing emissions for the current and previous reporting years using a consistent calculation methodology for Purchased Goods and Services (PG&S), there is a 14% reduction in overall Scope 3 emissions.

Moving forward, Hikal will designate FY 2025 as the baseline year for monitoring progress against the emissions reduction targets established under the Science Based Targets initiative (SBTi) framework.

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Our Jigani Unit, located near the Bannerghatta National Park, is the only facility situated close to an ecologically sensitive zone. Recognizing the ecological significance of this area, we have undertaken targeted initiatives to preserve and enhance local biodiversity.

As part of our efforts to conserve the ecology and environment, we undertook the cleaning of Konasandra Lake and Yallammanadoddi Lake in 2025. This involved removing unwanted vegetation and planting approximately 250 saplings, contributing to the restoration of water bodies and surrounding green cover.

In addition, in May 2024, we developed a Miyawaki forest near Harapanahalli Temple, Jigani, in collaboration with M/s Twin Glacier Foundation. This initiative included the plantation of 4,000 trees, 1,000 shrub saplings, and 350 bamboo grasses, significantly enhancing biodiversity and supporting the regeneration of native flora and fauna in the region.

These initiatives reflect our commitment to minimising indirect ecological impacts and actively contributing to biodiversity conservation in and around ecologically sensitive areas.

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions/effluent discharge/waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

S. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Renewable energy transition	Implemented solar and wind energy at Mahad, Taloja, Panoli, and Jigani through power purchase agreements.	Cost savings of ₹134.0 million and significant CO ₂ emissions reduction.
2	Energy efficiency and process optimization measures	Replaced pumps, retrofitted lighting, optimized voltage, and automated systems across Crop and Pharma sites.	Achieved annual operational savings of ₹ 27.8 million
3	Energy efficiency and process optimization measures	Improved boiler steam-to-fuel ratio and installed flash steam recovery systems at Jigani, Mahad, and Panoli.	Saved 697 MT of fuel and 292.39 MT of furnace oil.

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/web link.

We have established a business continuity and emergency response plan to ensure operational resilience across our facilities. This includes a well-defined SOP that identifies critical processes, assesses potential risks, and outlines contingency measures to minimize disruptions. Roles and responsibilities are clearly assigned across all levels to ensure swift and coordinated action. The SOP is reviewed biannually or as needed to remain aligned with evolving risks. Additionally, each site maintains tailored emergency response plans, supported by regular training and statutory mock drills to ensure preparedness and compliance.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

No such incident took place in the reporting year FY 2024-25.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

In the reporting period, we have not evaluated any of our value chain partners to assess the environmental impact of their operations. However, we have defined a supplier evaluation criterion based on which we assess our critical value chain partners in India on applicable statutory, EHS, ESG Principles, and quality-related requirements.

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/associations: 5
- b. List the top 10 trade and industry chambers/associations (determined based on the total members of such body) the entity is a member of/affiliated to:

S. No	Name of the trade and industry chambers/associations	Reach of trade and industry chambers/associations (State/National)
1	Indian Chemical Council	National
2	Pesticides Manufacturers & Formulators Association of India	National
3	Crop Care Federation of India	National
4	Agro Chem Federation of India	National
5	CHEMEXCIL	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

Name of authority	Brief of the case	Corrective action taken
Nil	Nil	Nil

Leadership Indicators

1. Details of public policy positions advocated by the entity:

We work closely with various trade and industry associations on topics related to governance, policy reforms and sustainable business principles.

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No)	Relevant Web link
-	-	-	-	-	-

During the period, the Company has not undertaken any SIA under the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013.

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Not applicable.

3. Describe the mechanisms to receive and redress grievances of the community.

Our Grievance Redressal policy and Whistle-blower policy have defined mechanisms for addressing concerns/complaints raised by the external stakeholder in a time-bound manner. We maintain confidentiality during the investigation process and ensure protection of the complainant. There is zero tolerance to retaliatory behaviour as mentioned in our Code of Conduct. However, no such concern was reported during the financial year 2024-25.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2024-25	FY 2023-24
Directly sourced from MSMEs/small producers	10%	23%
Directly from within India	69%	78%

Note: We evaluate the vendor based on merits that are defined in our procurement policy and we provide equal opportunities to all the vendors/suppliers irrespective of geographical boundary.

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent/on contract basis) in the following locations, as % of total wage cost

Location	FY 2024-25	FY 2023-24
Rural	17%	17%
Semi-urban	58%	59%
Urban	25%	24%
Metropolitan	-	-

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Not applicable.
2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

Not applicable.
3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized/vulnerable groups? (Yes/No)

While we do not have a formal preferential procurement policy specifically targeting marginalized or vulnerable groups, our Sustainable Procurement Policy and Supplier Code of Conduct emphasise inclusive and equitable supplier engagement. We are committed to fair and transparent procurement practices that provide equal opportunities to all suppliers, including local and MSME vendors. Our policies encourage supplier diversity and promote workforce inclusion, local community development, and fair dealing. We also assess suppliers on ESG parameters, including social impact, and encourage initiatives that support local employment and community upliftment. These principles reflect our broader commitment to responsible sourcing and sustainable development across our value chain.

(b) From which marginalized/vulnerable groups do you procure?

Not applicable.

(c) What percentage of total procurement (by value) does it constitute

Not applicable.
4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

Not applicable.
5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Not applicable.
6. Details of beneficiaries of CSR Projects:

CSR Projects	No. of persons benefitted from CSR project	% of beneficiaries from vulnerable and marginalized groups
Remuneration of teachers' salaries at a nearby govt school in Madhutara	120	100%
Remuneration of teachers' salary of a nearby govt school in Tharadevi	120	100%
Remuneration of teachers' salaries at a nearby govt school in Thara C	120	100%
Remuneration of teachers' salary of a nearby govt school in Byrappa	120	100%
Support to Twin Glacier Foundation for towards infrastructure development	2000	100%
Support Govt School children by providing them with stationery supplies, notebooks, and school bags	100	100%
Support to Sewing Machines 08 No's for Handicapped,Widow & Cancer Patients for support	8	100%
Support to Ananya Trust for school material	60	100%
Support to ADARANE CHARITABLE TRUST for sponsoring education of 5 children who are undergoing schooling at St.Mark's School, located at Agrahara extension Bangalore.	5	100%
Support to WWF Nature Guardian Program	NA	100%
Support to Marg Foundation	NA	100%
Support to National Center for Performing Arts	80	100%
Support to Utkarsh Global Foundation Wari Jul 2024	300	100%
Support to IAHV for Renovation Work at Cuffe Parade Police-Station, Mumbai CSR Project	10000	100%

CSR Projects	No. of persons benefitted from CSR project	% of beneficiaries from vulnerable and marginalized groups
Proposal for Renovation of Sanitation Complexes at SRPF Guest House in Cuffe Parade Police Station	10000	100%
Support to Mehli Mehta Music Foundation	100	100%
CSR support to Zirad Art & Heritage Foundation (ZAHF)	250	100%
Support to Raigad Zila Parishad Ucch Prathamik School with digital equipment and benches	100	100%
Infrastructure Improvement in Vashi Police station by IAHV	3000	100%
Umeed Child Development Center	1000	100%
Support towards Mangalam Charitable Trust for Cancer patients	40	100%
Support towards Swami Bhamanand Pratishthan for specially-abled children	500	100%
Transplant Help Poor Foundation	30	100%
CSR support to Utkarsh Global Foundation for infrastructure work at CBD police station	1000	100%
CSR support to Utkarsh Global Foundation for providing Computers to Gamdevi Police station	2000	100%
MHHHAP programme in Mahad School	300	100%
Support to Light of Life Trust for mentorship and counselling of 150 underprivileged girls	150	100%
Stage construction in ZP school	300	100%
Creating Awareness of Environment Protection through Usage of Recyclable Material in Gandhinagar, Gujarat	300	100%
Support towards Umang Center of Indian Army	340	100%
Hinjewadi Police Station Project	50	100%
MHHHAP programme in Pune	300	100%
FRL - Improving the Quality of Education at ZP School Nere (Dattawadi), Taluka Mulshi, District Pune through Infrastructure Development 2024-25	500	100%

PRINCIPLE 9: Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

While we are into B2B sales and not engaged in selling any product directly in the retail market, we have defined systems in place for the customer complaint management. Upon receipt of a complaint in our system, an investigator is promptly assigned to conduct a root cause analysis. Necessary corrective actions are implemented to rectify the identified issues and an update is provided about the cause and corrective actions implemented to our customers in a time-bound manner.
2. Turnover of products and/services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	NA
Safe and responsible usage	100%
Recycling and/or safe disposal	NA

Yes, all our products are properly labelled with adequate details in accordance with the applicable statutory and customer requirements. We provide safety data sheets which contain all the necessary information about the safe handling of the products.

3. Number of consumer complaints in respect of the following:

	FY 2024-25 Current Financial Year			FY 2023-24 Previous Financial Year		
	Received during the year	Pending resolution at end of year	Remarks	Received during the year	Pending resolution at end of year	Remarks
Data privacy	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Advertising	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Cyber-security	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Delivery of essential services	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Restrictive Trade Practices	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Unfair Trade Practices	Nil	Nil	Not applicable	Nil	Nil	Not applicable
Other	34	4	Not applicable	21	9	Not applicable

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	Nil	Not applicable
Forced recalls	Nil	Not applicable

5. Does the entity have a framework/policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Hikal has a defined policy to address cybersecurity and data privacy risks, which is accessible to all employees through the internal portal. As part of ongoing efforts to enhance information security, implementation of the ISO 27001:2022 standard for Information Security Management Systems (ISMS) is currently underway.

To strengthen cybersecurity and safeguard against potential threats, a multi-layered IT security architecture has been deployed. This includes an email gateway, anti-virus, anti-spam, and anti-phishing solutions, along with Endpoint Detection and Response (EDR) systems equipped with Advanced Threat Protection (ATP) engines. End-user devices and servers are protected with antivirus software and zero-day attack prevention.

Multi-factor authentication (MFA) with one-time password (OTP) verification is enabled for all servers, and advanced web security solutions are in place to ensure secure internet access.

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty/action taken by regulatory authorities on safety of products/ services.

Not applicable

7. Provide the following information relating to data breaches:

- a. Number of instances of data breaches: Nil
- b. Percentage of data breaches involving personally identifiable information of customers: Nil
- c. Impact, if any, of the data breaches: Nil

Leadership Indicators

1. Channels/platforms where information on products and services of the entity can be accessed (provide web link, if available).

We have a dedicated page on our Company's website that provide information about the products and services. The website links for Pharmaceuticals and Crop Protection products are:

Pharmaceuticals: <https://www.hikal.com/page/apis-and-intermediates>

Crop Protection: <https://www.hikal.com/page/overview#capabilities>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/ or services.

We have quality agreements in place with our customers through which we share detailed information about our products. Each consignment is labelled appropriately and includes relevant safety instructions and product information, in line with applicable statutory requirements.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

This requirement is not directly applicable to us, as we operate exclusively through B2B sales and do not sell products directly in the retail market. However, we have established mechanisms to proactively inform our customers about any significant changes or potential risks that could disrupt the supply of essential services. Notably, during the financial year 2024–25, no such instances were reported.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief.

Yes, we ensure that all our products are appropriately labelled in accordance with applicable statutory requirements, along with any specific customer requirements. We are committed to maintaining transparency and providing relevant product information. Additionally, each consignment includes safety instruction sheets to support the safe handling and use of our products.

Did your entity carry out any survey with regard to consumer satisfaction relating to the major products/ services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Yes, our entity actively engages in gathering consumer feedback to assess satisfaction levels across our key products, services, and operational locations. We conduct regular evaluations of customer feedback forms to gain insights into their experiences and expectations. Additionally, our business teams hold periodic review meetings with major clients to address any concerns and collaboratively identify opportunities for service enhancement. This structured approach enables us to continuously improve and align our offerings with customer need.